

THE BURTON INN

Commercial Lease Agreement

[Street Address], Burton, Vashon Island, Washington 98[0__]

Draft v0.1 — July 11, 2026 — prepared from the July 2026 Rent Basis & Owner Return prospectus
— for attorney review

How this document was built. *The economic terms below (triple-net pass-through, fixed base rent with a Year 1 abatement, percentage rent over a natural breakpoint, tenant-funded fit-out, owner-scope capital systems, and the optional capital-systems loan) implement the deal described in "The Burton Inn — Rent Basis & Owner Return" (July 2026). Bracketed items are open deal points to be completed before signature. This draft is not legal advice; both parties should have it reviewed by Washington counsel.*

ARTICLE 1: BASIC LEASE PROVISIONS

This Article 1 is a summary of the principal terms. If this Article conflicts with any other provision of this Lease, the other provision controls.

- **Landlord:** [OWNER LEGAL NAME], [a Washington _____] ("Landlord").
- **Tenant:** [OPERATING COMPANY LEGAL NAME], a Washington limited liability company ("Tenant").
- **Premises:** The entire building commonly known as The Burton Inn, together with the underlying land, parking, and grounds, located at [Street Address], Burton, Vashon Island, Washington, legally described on **Exhibit A** (the "Premises").
- **Term:** Ten (10) Lease Years from the Commencement Date, unless extended or earlier terminated as provided herein. [Renewal option(s): _____.]
- **Commencement Date:** The date Landlord delivers possession of the Premises to Tenant, anticipated to be [_____, 2026].
- **Base Rent:** \$1,650.00 per month (\$19,800 per year), fixed for the entire Term with no escalation. Base Rent is fully abated during Lease Year 1 and commences on the first day of Lease Year 2 (the "Rent Commencement Date").
- **Percentage Rent:** Ten percent (10%) of Gross Revenue in excess of the Breakpoint of \$198,000 per Lease Year (the natural breakpoint: annual Base Rent divided by the percentage rate). Percentage Rent applies in every Lease Year, including Lease Year 1 during the Base Rent abatement.
- **Triple-Net Expenses:** From the Commencement Date, including during Lease Year 1, Tenant bears all real property taxes (currently approximately \$8,500/yr), Landlord's building insurance premiums (currently approximately \$6,500/yr), and all routine maintenance and upkeep (currently estimated at \$375/mo), in each case at actual cost as it changes over time, plus all utilities. Approximately \$19,500 per year at today's actual costs.
- **Landlord's Retained Obligations:** Roof and structure, and the capital building systems described on **Exhibit C** (fire suppression and HVAC, approximately \$50,000), which are Landlord's scope

and are financed separately from the rent structure (optionally per **Exhibit D**).

- **Tenant's Work:** Tenant-funded interior fit-out of approximately \$98,000 (flooring, paint, kitchen retrofit and permits, furnishings) per **Exhibit B**, installed in two phases (guest rooms first; kitchen, bar, and events approximately three months later).
 - **Permitted Use:** Operation of an inn with up to four (4) guest rooms; a cocktail bar and restaurant; ticketed chef's dinners and tasting events; pop-up and takeaway food service; commissary-kitchen rental; private events; and ancillary uses, all as further described in Article 7.
 - **Security Deposit:** [\$_____ / None].
 - **Guarantor(s):** [None / _____].
 - **Notice Addresses:** As set forth in Article 21.
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ARTICLE 2: PREMISES

2.1 Lease of Premises. Landlord leases to Tenant, and Tenant leases from Landlord, the entire Premises. Because the Premises comprise the whole building and grounds, there are no common areas, no proportionate-share allocations, and no relocation rights; Tenant's rights extend to the entire Premises for the entire Term.

2.2 Quiet Enjoyment. Provided Tenant performs its obligations under this Lease, Tenant shall peaceably hold and enjoy the Premises for the Term without hindrance by Landlord or anyone claiming through Landlord.

ARTICLE 3: TERM; COMMENCEMENT; PHASE D OPENING

3.1 Term. The initial term of this Lease (the "Term") begins on the Commencement Date and ends at the close of the last day of Lease Year 10, unless extended or earlier terminated as provided in this Lease.

3.2 Commencement Date; Delivery. The "Commencement Date" is the date Landlord delivers exclusive possession of the Premises to Tenant in its as-is condition (subject to Landlord's obligations under Exhibit C and Article 9). Triple-Net Expenses and utilities are Tenant's responsibility from the Commencement Date. If Landlord has not delivered possession within sixty (60) days after the anticipated Commencement Date stated in Article 1, Tenant may cancel this Lease by written notice at any time before possession is tendered, whereupon Landlord shall promptly refund all prepaid sums and neither party shall have further obligations except those that expressly survive.

3.3 Opening Date; Phased Opening. Tenant intends to open in two phases: **Phase 1** — completion of guest-room fit-out and opening of the guest rooms to paying guests (the date the guest rooms first open being the "Opening Date"); and **Phase 2** — opening of the kitchen, bar, and events operations,

targeted approximately three (3) months after the Opening Date. Tenant shall pursue both phases with commercially reasonable diligence, and shall achieve the Opening Date no later than [one hundred twenty (120)] days after the Commencement Date, subject to extension for Force Majeure and delays caused by Landlord (including completion of the Exhibit C systems to the extent legally required for the applicable phase).

3.4 Lease Year. "Lease Year 1" begins on the earlier of (a) the Opening Date and (b) the [one hundred twentieth (120th)] day after the Commencement Date, and ends on the last day of the twelfth (12th) full calendar month thereafter. Each subsequent "Lease Year" is the successive twelve (12) month period, except that the final Lease Year ends on the last day of the Term. Gross Revenue generated between the Commencement Date and the beginning of Lease Year 1, if any, is included in Lease Year 1.

ARTICLE 4: BASE RENT

4.1 Base Rent. Tenant shall pay Landlord fixed base rent of One Thousand Six Hundred Fifty Dollars (\$1,650.00) per month (\$19,800 per year) ("Base Rent"), in advance on or before the first (1st) day of each calendar month, by ACH transfer to an account designated by Landlord, without prior demand, deduction, set-off, or counterclaim. Base Rent is prorated per diem for any partial calendar month.

4.2 Year 1 Abatement. Base Rent is fully abated from the Commencement Date through the last day of Lease Year 1, in recognition of Tenant's staged opening and Tenant's fit-out investment under Exhibit B. Base Rent commences on the first day of Lease Year 2. The abatement applies to Base Rent only: Percentage Rent, Triple-Net Expenses, and utilities are payable during Lease Year 1 without abatement.

4.3 No Escalation. Base Rent is deliberately flat for the entire Term. The parties intend Percentage Rent (Article 5), computed against a Breakpoint that does not increase, to function as the escalator: as Gross Revenue grows, Landlord's total rent grows faster than the business itself.

4.4 Late Charge; Interest. If any payment of Rent is not received within five (5) days after it is due, Tenant shall pay a late charge of five percent (5%) of the overdue amount, and unpaid amounts shall bear interest from the due date until paid at the lesser of twelve percent (12%) per annum or the maximum lawful rate.

4.5 Rent Defined; Net Lease. "Rent" means Base Rent, Percentage Rent, Triple-Net Expenses, and every other sum payable by Tenant under this Lease. Except for Landlord's Retained Obligations (Article 9.2 and Exhibit C), this Lease is intended to be absolutely net to Landlord: Landlord is never exposed to cost inflation on the building, and all costs of operating, maintaining, insuring, and taxing the Premises pass through to Tenant at actual cost.

4.6 Single Obligation. Tenant's Rent obligations are the single, unallocated obligation of Tenant as operating company. Any allocation of rent among Tenant's lines of business (lodging, bar, dinners, pop-ups, commissary, events) in the prospectus or Tenant's planning materials is illustrative only and has no effect on Tenant's obligations under this Lease.

ARTICLE 5: PERCENTAGE RENT

5.1 Percentage Rent. For each Lease Year, Tenant shall pay Landlord, as "Percentage Rent," ten percent (10%) of the amount by which Gross Revenue for that Lease Year exceeds One Hundred Ninety-Eight Thousand Dollars (\$198,000) (the "Breakpoint"). The Breakpoint is the natural breakpoint (annual Base Rent ÷ 10%), so Base Rent and Percentage Rent join smoothly rather than stacking. The Breakpoint does not increase during the Term. The full Breakpoint (not prorated) applies to Lease Year 1 notwithstanding the staged opening; for any partial final Lease Year, the Breakpoint is prorated by the number of days in that Lease Year.

5.2 Gross Revenue. "Gross Revenue" means the entire amount of revenue, whether cash, card, electronic, or credit, and whether collected directly or through booking platforms, ticketing services, or other intermediaries (without deduction for platform or processing fees), generated by or arising from business conducted at, from, or originating from the Premises, including without limitation: guest-room and lodging charges; food and beverage sales; ticket sales for dinners, tastings, and events; pop-up and takeaway sales; commissary and kitchen-rental fees; venue, event, and private-hire fees; and merchandise sales. Gross Revenue is calculated from receipts — no expense accounting is involved.

5.3 Exclusions. Gross Revenue excludes only: (a) sales, lodging, liquor, and similar taxes collected from customers and remitted to taxing authorities; (b) bona fide refunds, credits, and voided transactions; (c) tips and gratuities paid over to employees; (d) proceeds of insurance or condemnation; (e) security or reservation deposits until applied or forfeited; and (f) proceeds from the sale of used furniture, fixtures, or equipment in the ordinary course of replacement.

5.4 Monthly Statements. Within twenty (20) days after the end of each calendar month from the Commencement Date, Tenant shall deliver to Landlord a written statement of Gross Revenue for that month, broken out by line of business.

5.5 Quarterly Payment; Annual True-Up. Within thirty (30) days after the end of each calendar quarter of each Lease Year, Tenant shall pay Landlord Percentage Rent computed on a cumulative basis: ten percent (10%) of the amount by which cumulative Gross Revenue for the Lease Year to date exceeds the Breakpoint, less Percentage Rent already paid for that Lease Year. Within ninety (90) days after the end of each Lease Year, Tenant shall deliver an annual reconciliation statement of Gross Revenue for that Lease Year, certified as true and complete by an officer or manager of Tenant, accompanied by payment of any deficiency; any overpayment shall be credited against the next Percentage Rent due (or refunded within thirty (30) days if the Term has ended).

5.6 Records; Audit. Tenant shall keep complete point-of-sale (POS) and booking records of all Gross Revenue for at least three (3) years after each Lease Year ends. Not more than once per Lease Year, on fifteen (15) days' written notice, Landlord (or an independent accountant engaged by Landlord) may audit Tenant's Gross Revenue records, including POS records, for any of the preceding two (2) Lease Years. If an audit discloses an understatement, Tenant shall pay the resulting deficiency plus interest at the Article 4.4 rate within thirty (30) days; and if the understatement for the audited Lease Year exceeds ten percent (10%), Tenant shall also reimburse Landlord's reasonable audit cost. Audit results and Tenant's records are confidential per Article 23.6.

5.7 Operating Covenant. Because Percentage Rent is a core part of Landlord's return, Tenant shall continuously operate the inn business at the Premises in the ordinary course during the Term, consistent with the Permitted Use, subject to: temporary closures for the Exhibit B fit-out phases, casualty, condemnation, remodeling, repairs, and Force Majeure; and seasonal closures or reduced schedules not exceeding [six (6)] weeks in any Lease Year in the aggregate. Nothing herein requires any particular line of business to meet any revenue level; the percentage structure is self-correcting — if revenue falls, Percentage Rent falls with it.

ARTICLE 6: TRIPLE-NET EXPENSES; UTILITIES

6.1 From Day One. Tenant's obligations under this Article 6 begin on the Commencement Date and apply in every Lease Year, including Lease Year 1, at whatever the actual costs then are. There is no abatement, cap, or base year.

6.2 Real Property Taxes. Tenant shall pay all real property taxes, assessments, surface-water-management fees, and similar governmental charges levied against the Premises for periods within the Term (currently approximately \$8,500 per year). Landlord shall deliver each tax statement to Tenant promptly on receipt, and Tenant shall pay Landlord (or, at Landlord's election, the taxing authority directly, with proof of payment to Landlord) at least thirty (30) days before delinquency. Real property taxes exclude Landlord's income, estate, or transfer taxes. Tenant may contest assessments at its own cost with Landlord's reasonable cooperation, provided payment is never delinquent.

6.3 Building Insurance. Landlord shall maintain special-form (all-risk) property insurance on the building at full replacement cost, together with such commercial general liability coverage for Landlord's ownership interest as Landlord reasonably carries (premiums currently approximately \$6,500 per year). Tenant shall reimburse Landlord for the actual premiums within thirty (30) days after invoice with a copy of the premium statement. Any increase or decrease in premiums passes through at actuals.

6.4 Routine Maintenance. Tenant shall perform and pay for all routine maintenance and upkeep of the Premises per Article 9.1 (estimated for planning purposes at \$375 per month at today's costs). If Landlord incurs any routine maintenance cost properly belonging to Tenant, Tenant shall reimburse the actual cost within thirty (30) days after invoice.

6.5 Utilities. Tenant shall establish accounts in its own name and pay directly all utilities serving the Premises, including electricity, water, sewer/septic, garbage, propane or heating fuel, telephone, and internet. Landlord is not liable for utility interruptions except those caused by Landlord's gross negligence or willful misconduct, and interruptions do not abate Rent or constitute eviction.

ARTICLE 7: USE; COMPLIANCE; LICENSES

7.1 Permitted Use. Tenant may use the Premises for: (a) an inn and short-stay guest lodging of up to four (4) guest rooms; (b) a cocktail bar and restaurant, with beer, wine, and spirits service; (c) ticketed chef's dinners, tastings, and culinary events; (d) pop-up, takeaway, and counter food service; (e) rental of the commercial kitchen as a commissary to licensed food businesses; (f) private events and venue hire; and (g) uses ancillary to the foregoing, including retail sale of merchandise and provisions (collectively, the "Permitted Use"). Any materially different use requires Landlord's prior written consent, not to be unreasonably withheld, conditioned, or delayed.

7.2 Licenses and Permits. Tenant shall obtain and maintain, at its sole cost, every license and permit required for the Permitted Use, including King County health and food-service permits, transient-accommodation/lodging licensure, and Washington State Liquor and Cannabis Board (WSLCB) liquor licensure. Landlord shall cooperate reasonably (at no material cost to Landlord) with Tenant's applications, including signing landlord consents customarily required by WSLCB and permitting authorities.

7.3 Compliance with Laws. Tenant shall comply with all applicable federal, state, and local laws, codes, and regulations in its use of the Premises, including health, fire, ADA and Washington accessibility requirements as to Tenant's operations and Tenant's Work. Notwithstanding any permissive Washington law, no use may violate federal law (cannabis cultivation, distribution, or sale is strictly prohibited absent a separate written addendum).

7.4 Environmental. Tenant shall comply with the Washington Model Toxics Control Act and shall not permit Hazardous Materials on the Premises except customary supplies for the Permitted Use in commercially reasonable quantities, handled per applicable law. Tenant indemnifies Landlord against claims and cleanup costs arising from Tenant's release or storage of Hazardous Materials; Landlord remains responsible for any Hazardous Materials present before the Commencement Date.

7.5 Nuisance. Tenant shall not create a nuisance or overload structural or utility systems. Reasonable noise, music, odors, and activity customary to a working inn, bar, restaurant, and events venue operating within legal limits do not constitute a nuisance under this Lease.

ARTICLE 8: CONDITION; TENANT'S WORK; ALTERATIONS; LIENS

8.1 As-Is Delivery. Except for Landlord's obligations under Exhibit C and Article 9.2, Tenant accepts the Premises in their as-is, where-is condition as of the Commencement Date. Tenant acknowledges an adequate opportunity to inspect, and Landlord makes no warranty of suitability except as expressly stated in this Lease.

8.2 Tenant's Work. Tenant shall perform, at its sole cost, the interior fit-out described on **Exhibit B** — approximately Ninety-Eight Thousand Dollars (\$98,000) of investment into the building, comprising flooring, interior painting, kitchen retrofit and associated permits, and furnishings — in two phases as described in Article 3.3. Tenant's Work shall be performed lien-free, in a good and workmanlike manner, by licensed and insured contractors where required, with all required permits.

8.3 Ownership of Improvements. All of Tenant's Work and all subsequent Alterations that are attached to or incorporated into the building (including flooring, finishes, and the kitchen retrofit, and including built-in furnishings) become part of the building on installation and remain Landlord's property on expiration or earlier termination of this Lease, without compensation — the parties acknowledge this is a bargained-for element of the rent structure. Tenant's movable trade fixtures, equipment, inventory, and unattached personal property remain Tenant's and shall be removed at the end of the Term, with Tenant repairing any damage caused by removal.

8.4 Alterations After Opening. After completion of Tenant's Work, Tenant shall not make structural Alterations, or non-structural Alterations exceeding \$[10,000] per project, without Landlord's prior written consent, not to be unreasonably withheld, conditioned, or delayed. Interior, non-structural work at or below that threshold requires notice but not consent.

8.5 Liens. Tenant shall keep the Premises free of liens arising from Tenant's Work or Alterations, shall give Landlord ten (10) days' notice before commencing any work of improvement so Landlord may post notices of non-responsibility, and shall discharge or bond around any filed lien within fifteen (15) days.

ARTICLE 9: MAINTENANCE AND REPAIRS

9.1 Tenant's Obligations. Tenant shall, at its sole cost, maintain the entire Premises in clean, safe, and operable condition, including: interior walls, floors, and finishes; plumbing fixtures; kitchen equipment; guest rooms and furnishings; doors and windows; landscaping, walkways, and parking surfaces (including routine upkeep); pest control; and janitorial service — ordinary wear and tear and insured casualty excepted. Tenant shall also arrange routine and preventative maintenance of the HVAC system installed under Exhibit C through a licensed contractor.

9.2 Landlord's Retained Obligations. Landlord shall, at its sole cost (not passed through to Tenant), maintain, repair, and replace as needed: (a) the roof and roof membrane; (b) the structural foundation, load-bearing walls, and other structural elements; and (c) full replacement (as distinct from routine maintenance) of the Exhibit C capital systems (fire suppression and HVAC), except to the extent replacement is necessitated by Tenant's negligence or misuse. Landlord carries only the long-lived shell it owns anyway; everything that varies with operating the business sits on Tenant.

ARTICLE 10: INSURANCE

10.1 Tenant's Required Insurance. Tenant shall carry, at its sole cost, from the Commencement Date: (a) Commercial General Liability insurance of at least \$1,000,000 per occurrence / \$2,000,000 aggregate, including host and premises liability; (b) liquor liability insurance of at least \$1,000,000 per occurrence from the date any alcohol is served; (c) special-form property insurance covering Tenant's Work, trade fixtures, equipment, and inventory at full replacement cost; (d) business income insurance covering at least twelve (12) months of Rent obligations; and (e) Washington workers'

compensation and stop-gap employer's liability coverage as required by law for Tenant's employees.

10.2 Additional Insured; Evidence. Tenant's liability policies (including liquor liability) shall name Landlord (and Landlord's lender, if any) as additional insured on a primary, non-contributory basis. Tenant shall deliver certificates of insurance before the Commencement Date and on each renewal, with thirty (30) days' notice of cancellation or material change.

10.3 Mutual Waiver of Subrogation. Landlord and Tenant each waive all rights of recovery against the other for loss or damage covered (or required to be covered) by their respective property insurance, and shall obtain the corresponding waiver from their insurers.

10.4 Waiver of Immunity. Solely for the purpose of giving full effect to the indemnity obligations in this Lease, Landlord and Tenant each expressly waive any immunity under the Washington Industrial Insurance Act, Title 51 RCW, and acknowledge this waiver was mutually negotiated.

ARTICLE 11: INDEMNIFICATION

11.1 Tenant's Indemnity. Tenant shall indemnify, defend, and hold Landlord harmless from claims, damages, and liabilities arising from Tenant's use and occupancy of the Premises, the conduct of Tenant's business (including service of alcohol and lodging of guests), Tenant's Work, or Tenant's breach of this Lease, except to the extent caused by Landlord's gross negligence or willful misconduct.

11.2 Landlord's Indemnity. Landlord shall indemnify, defend, and hold Tenant harmless from claims arising from Landlord's performance of Landlord's Retained Obligations to the extent caused by Landlord's negligence or willful misconduct.

ARTICLE 12: ASSIGNMENT; SUBLETTING; ORDINARY-COURSE OCCUPANCIES

12.1 Consent Required. Tenant shall not assign this Lease or sublet the Premises without Landlord's prior written consent, not to be unreasonably withheld, conditioned, or delayed. A transfer of a controlling interest in Tenant is an assignment for this purpose, except transfers among Tenant's existing members or for estate-planning purposes. Landlord may assign its interest without Tenant's consent.

12.2 Ordinary-Course Occupancies Permitted. The following are licenses in the ordinary course of the Permitted Use, not assignments or subleases, and require no consent: overnight guest stays; event and venue hires; ticketed dinners; pop-up arrangements with visiting chefs or vendors; and hourly or short-term commissary-kitchen use agreements with licensed food businesses. Tenant remains fully responsible for the Premises and for all such occupants, and all revenue therefrom is Gross Revenue.

12.3 No Release. No assignment or sublease releases Tenant (or any Guarantor) without Landlord's express written release.

ARTICLE 13: CASUALTY; CONDEMNATION

13.1 Casualty. If the Premises are damaged by fire or other casualty, Landlord shall obtain a repair estimate within forty-five (45) days. If the building shell and Landlord-insured improvements can reasonably be repaired within two hundred seventy (270) days, Landlord shall repair them (using building-insurance proceeds, which Tenant funded through Article 6.3), Tenant shall repair Tenant's Work and property (using Tenant's insurance proceeds), and this Lease continues with Base Rent and Triple-Net Expenses abated in proportion to the untenable portion until restoration; Percentage Rent self-adjusts through Gross Revenue. If repair is estimated to exceed two hundred seventy (270) days, or if a material uninsured casualty occurs in the final two Lease Years, either party may terminate on thirty (30) days' notice.

13.2 Condemnation. If all of the Premises, or so much that Tenant cannot practicably operate the Permitted Use, is taken by eminent domain, this Lease terminates as of the taking. For a lesser taking, this Lease continues with Rent equitably abated. Landlord receives the condemnation award; Tenant may pursue a separate award for moving expenses, trade fixtures, the unamortized value of Tenant's Work, and loss of business goodwill to the extent separately recoverable under applicable law.

ARTICLE 14: DEFAULT; REMEDIES

14.1 Tenant Events of Default. Each of the following is an "Event of Default": (a) failure to pay any Rent within five (5) days after written notice of nonpayment; (b) failure to deliver any Gross Revenue statement required by Article 5 within ten (10) days after written notice; (c) failure to perform any other obligation within fifteen (15) days after written notice (or, if the cure reasonably requires longer, failure to commence within fifteen (15) days and diligently complete); (d) abandonment of the Premises coupled with failure to pay Rent; and (e) Tenant's insolvency, assignment for the benefit of creditors, or bankruptcy filing not dismissed within sixty (60) days.

14.2 Remedies. Upon an Event of Default, Landlord may, cumulatively and without limitation of other lawful remedies: (a) terminate this Lease by written notice and recover the amounts provided by Washington law, including unpaid Rent earned at termination, the excess of Rent for the balance of the Term over the loss Tenant proves could reasonably be avoided (discounted at the Federal Reserve Bank of San Francisco discount rate plus 1%), and all other detriment proximately caused, including reletting expenses; or (b) without terminating, re-enter and relet the Premises for Tenant's account, applying proceeds first to reletting expenses (repossession costs, commissions, attorneys' fees, repairs, and concessions prorated over the new lease), then to Tenant's other indebtedness, then to Rent, with Tenant remaining liable for any deficiency. For purposes of computing damages, Percentage Rent for future periods shall be deemed to equal the average annual Percentage Rent payable during the thirty-six (36) months preceding the default (or the actual period, if shorter). No re-entry terminates this Lease absent written notice of termination. Tenant waives all rights of

redemption to the fullest extent permitted by law.

14.3 Landlord Default; Cure. Landlord is not in default unless it fails to perform an obligation within thirty (30) days after written notice from Tenant (extended so long as Landlord commences within thirty (30) days and diligently pursues completion). Tenant's sole remedy for Landlord's uncured default is actual money damages (not consequential or punitive damages); provided that if Landlord's uncured failure to perform Landlord's Retained Obligations renders a material portion of the Premises untenable for more than thirty (30) days, Base Rent equitably abates for the affected period.

14.4 Additional Rent. Every sum payable by Tenant under this Lease is collectible as Rent, and nonpayment carries the same remedies as nonpayment of Base Rent.

ARTICLE 15: SUBORDINATION; ATTORNEY T; ESTOPPEL

15.1 Subordination; Non-Disturbance. This Lease is subordinate to any current or future mortgage or deed of trust on the Premises, provided that, as a condition to subordination to any future encumbrance, the holder delivers a commercially reasonable non-disturbance agreement recognizing this Lease (including the Base Rent abatement and Percentage Rent structure) so long as no Event of Default exists. Tenant shall attorn to any successor upon foreclosure.

15.2 Estoppel Certificates. Each party shall deliver, within ten (10) business days after written request, an estoppel certificate confirming the status of this Lease, the Rent, and any defaults known to the certifying party.

ARTICLE 16: LANDLORD'S ENTRY

Landlord may enter the Premises on twenty-four (24) hours' notice for inspection, repairs, or showing the Premises to lenders or purchasers (and to prospective tenants during the final nine (9) months of the Term), conducted so as to minimize interference with guests and operations; and without notice in emergencies. Landlord shall respect the privacy of occupied guest rooms except in emergencies.

ARTICLE 17: HOLDOVER

If Tenant remains in possession after the Term without Landlord's written consent, the tenancy is at sufferance, Base Rent increases to one hundred fifty percent (150%) of the last-effective Base Rent,

and Percentage Rent and Triple-Net Expenses continue. Acceptance of holdover rent does not create a periodic tenancy absent a signed writing.

ARTICLE 18: SURRENDER

On expiration or earlier termination, Tenant shall surrender the Premises broom-clean and in good condition, ordinary wear and tear and insured casualty excepted, with all improvements described in Article 8.3 in place; shall remove its movable trade fixtures, equipment, and personal property, repairing damage from removal; and shall return all keys and access devices. Property not removed is deemed abandoned and may be removed, stored, sold, or disposed of at Tenant's expense.

ARTICLE 19: NO OPTION TO PURCHASE

Tenant has expressed a goal of being in a position to purchase the building around Lease Year 10 at a price in the vicinity of \$1,200,000. The parties acknowledge that this is a financial goal only: **nothing in this Lease grants Tenant an option to purchase, right of first refusal, or right of first offer, and nothing obligates either party to transact.** Any sale would be by separate written agreement negotiated at the time. [If the parties wish to add a right of first offer or option to purchase, it should be documented here or by addendum.]

ARTICLE 20: SECURITY DEPOSIT; GUARANTY

20.1 Security Deposit. [Tenant shall deposit \$_____ with Landlord on execution, held (without trust account or interest) as security for Tenant's performance; it may be applied to defaults, must be replenished within ten (10) days after application, and the balance returned within thirty (30) days after surrender. / No security deposit is required.]

20.2 Guaranty. [The obligations of Tenant are guaranteed by _____ pursuant to the Guaranty attached as Exhibit E. / None.]

ARTICLE 21: NOTICES

Legal notices must be in writing and delivered by personal delivery, overnight courier, or certified mail (return receipt requested) to the addresses below, effective on delivery or refusal. Any notice

under chapter 59.12 RCW shall be served strictly as Washington law requires (including RCW 59.12.040). Email does not constitute legal notice of default.

- **To Landlord:** [Name, address].
 - **To Tenant:** [Name, address], with a copy to the Premises after the Opening Date.
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ARTICLE 22: DISPUTE RESOLUTION

22.1 Governing Law; Venue; Fees. This Lease is governed by Washington law. Venue lies in King County, Washington. The prevailing party in any action recovers its reasonable attorneys' fees and costs.

22.2 Waiver of Jury Trial. TO THE MAXIMUM EXTENT PERMITTED BY WASHINGTON LAW, LANDLORD AND TENANT KNOWINGLY, VOLUNTARILY, AND INTENTIONALLY WAIVE TRIAL BY JURY IN ANY ACTION OR PROCEEDING (INCLUDING UNLAWFUL DETAINER) ARISING OUT OF THIS LEASE.

ARTICLE 23: MISCELLANEOUS

23.1 Force Majeure. Delays caused by acts of God, fire, flood, earthquake, epidemic, war, civil disturbance, governmental orders, ferry-service disruption materially affecting construction logistics, labor disputes, supply-chain disruption, or other causes beyond a party's reasonable control extend that party's time for performance by the duration of the delay; provided that Tenant's obligation to pay Rent when due is never excused by Force Majeure.

23.2 Acknowledgment; Recording. Because the Term exceeds two (2) years, the parties shall execute and acknowledge this Lease before a notary as required for leases of this duration under Washington law. At either party's request, the parties shall execute a memorandum of lease in recordable form (omitting economic terms), recorded at the requesting party's cost. Neither party shall record this Lease itself.

23.3 Brokers. Each party represents it has dealt with no broker in connection with this Lease and indemnifies the other against claims arising from its own conduct.

23.4 Authority; OFAC. Each signatory warrants full authority to execute this Lease for its party, and each party warrants that it and its principals are not subject to U.S. sanctions or listed on the OFAC Specially Designated Nationals list.

23.5 Limitation of Landlord Liability. Landlord's liability under this Lease is limited to Landlord's interest in the Premises; Landlord is not liable for Tenant's consequential damages or lost profits.

23.6 Confidentiality. The financial and economic terms of this Lease and the parties' revenue statements, audit results, and planning materials are confidential, except disclosures required by law or made to lenders, purchasers, attorneys, accountants, insurers, or other advisors bound by similar

obligations.

23.7 Entire Agreement; Amendment. This Lease (with its Exhibits) is the entire agreement between the parties regarding the Premises and supersedes all prior discussions, including the July 2026 prospectus (which is a planning document, not a contract, except as its terms are expressly implemented herein). Amendments must be in a writing signed by both parties.

23.8 Severability; Counterparts; E-Signatures. Invalid provisions are severed. This Lease may be executed in counterparts, and electronic or PDF signatures are effective except where Washington law requires original or notarized signatures.

23.9 No Partnership. Nothing in this Lease — including Percentage Rent and the Exhibit D loan, if elected — creates a partnership, joint venture, or agency between Landlord and Tenant; the relationship is solely that of landlord and tenant (and, if Exhibit D is elected, borrower and lender).

23.10 Successors. This Lease binds and benefits the parties and their permitted successors and assigns.

SIGNATURES

LANDLORD: [OWNER LEGAL NAME]

By: _____ Name: _____ Title: _____
Date: _____

TENANT: [OPERATING COMPANY LEGAL NAME]

By: _____ Name: _____ Title: _____
Date: _____

Notary acknowledgments to be attached (required for a lease term exceeding two years under Washington law).

EXHIBIT A: LEGAL DESCRIPTION

[Attach legal description of the Premises — obtain from the statutory warranty deed or a title report.]

EXHIBIT B: TENANT'S WORK (TENANT-FUNDED FIT-OUT)

Tenant shall fund and perform the following fit-out, with a total anticipated investment of approximately Ninety-Eight Thousand Dollars (\$98,000). Line amounts are Tenant's planning

estimates; the obligation is to complete the described scope lien-free, not to spend a particular amount.

- **Flooring** — repair, refinish, and/or replace flooring throughout the guest rooms and public areas.
- **Paint** — full interior repaint; exterior touch-up as reasonably needed for opening.
- **Kitchen retrofit and permits** — commercial kitchen build-out sufficient for restaurant, bar, chef's-dinner, and commissary operation, including equipment, ventilation, and all required health-department and building permits.
- **Furnishings** — guest-room, bar, and dining furnishings and fixtures appropriate to a small destination inn.

Phasing. Phase 1 (before the Opening Date): guest rooms, associated public areas, and life-safety basics. Phase 2 (target: approximately three months after the Opening Date): kitchen, bar, and events spaces.

Ownership. Per Article 8.3, the fit-out (including flooring, finishes, the kitchen retrofit, and built-in furnishings) is attached to the building and remains with the building at the end of the tenancy, regardless of how the tenancy evolves.

EXHIBIT C: LANDLORD'S CAPITAL SYSTEMS (OWNER SCOPE)

The following capital building systems are Landlord's scope and cost (approximately \$50,000 combined budget), scoped and financed separately from the rent structure:

- **Fire suppression system** — design, permitting, and installation as required by code for the Permitted Use (including lodging and commercial kitchen operation).
- **HVAC** — replacement or installation of heating, ventilation, and air-conditioning serving the Premises. (Routine maintenance thereafter is Tenant's per Article 9.1; full replacement remains Landlord's per Article 9.2.)

Timing. Landlord shall complete each system as needed to support Tenant's phased opening — at minimum, any component legally required for Phase 1 before the Opening Date, and the remainder before the Phase 2 opening — subject to Force Majeure and Tenant cooperation. Landlord may finance this scope with the Exhibit D loan, or otherwise at Landlord's election.

EXHIBIT D: OPTIONAL CAPITAL SYSTEMS LOAN (ELECT ONE OPTION OR STRIKE)

D.1 The Loan. If Landlord prefers not to fund the Exhibit C systems from its own resources, Tenant shall lend Landlord up to Fifty Thousand Dollars (\$50,000) (the "Loan"), advanced as Exhibit C costs come due, at exactly Tenant's cost of funds: the Wall Street Journal Prime Rate plus three percent

(3.00%) per annum (9.75% as of July 2026) — no spread, no profit to Tenant on the Loan. The Loan is evidenced by a separate promissory note. This Exhibit is separable: electing or declining it does not change any other term of this Lease, and if Landlord declines, this Exhibit is struck.

D.2 Option A — Repayment Through Rent Credits. Landlord's cash rent (Base Rent plus Percentage Rent, but *not* Triple-Net Expenses, which continue to be paid in cash throughout) is credited against the Loan balance as it comes due, until principal and accrued interest are fully retired, after which all rent resumes in cash. Interest accrues on the outstanding balance at the D.1 rate. Illustratively, at the conservative floor the Loan clears during Year 4 (total interest ☐ \$13,833); at target performance, early Year 3. Credits are self-adjusting: they scale with actual rent, so there is no fixed payment obligation on Landlord.

D.3 Option B — Amortized Note. Landlord repays the Loan in equal monthly installments fully amortizing over twenty (20) years at the D.1 rate fixed as of the funding date (approximately \$474 per month at 9.75%; total interest over the full 20 years ☐ \$63,822). Landlord may prepay at any time without penalty, and may instead elect a ten (10) year amortization (approximately \$654 per month at 9.75%; total interest ☐ \$28,500). Rent flows to Landlord untouched from day one.

D.4 Election. Landlord elects: ☐ Option A (rent credits) — ☐ Option B (amortized note, ____-year) — ☐ Decline (Exhibit struck). Landlord initials: _____

EXHIBIT E: GUARANTY OF LEASE

[Attach guaranty if required under Article 20.2; otherwise strike.]

End of draft v0.1 of The Burton Inn Commercial Lease Agreement — July 11, 2026. Prepared from the July 2026 Rent Basis & Owner Return prospectus for review by both parties and their Washington counsel.